

FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS
CONFERENCE, AMERICAN TRUCKING
ASS'N, INC.,

Complainant,

v.

OCEMA, ET AL.,

Respondents.

Docket No. 20-14

Served: June 5, 2024

BY THE COMMISSION: Daniel B. MAFFEI, Chairman;
Rebecca F. DYE, Louis E. SOLA, Carl W. BENTZEL, and Max
M. VEKICH, Commissioners.

**Order Holding in Abeyance Petitions for Reconsideration and
Granting Leave to File Amicus Brief**

This case is before the Commission on Respondents' joint
and individual motions for reconsideration filed on March 14,

2024.¹ Respondents invoke Commission Rule 261² and ask the Commission to reconsider and vacate the Order and Opinion Affirming the Initial Decision and Remanding for Further Proceedings issued February 13, 2024. Complainant opposes the petitions for reconsideration. A motion filed by the major chassis providers to submit an amicus brief in support of reconsideration is also before the Commission.³ The case is currently before Chief Administrative Law Judge (ALJ) Erin Wirth on remand consistent with the Commission's February 2024 Order.

Respondents' motions for reconsideration are premature under 46 C.F.R. § 502.261 because the February 2024 order is not a "final decision or order by the Commission" as that rule requires. The February 2024 order did not finally dispose of the case, and the remaining claims are still before Judge Wirth. This procedural defect will be cured when there is a final decision under Rule 261. For that reason, the Commission will hold the motions for reconsideration in abeyance pending a final ruling from Judge Wirth on the remaining claims. The chassis providers' proposed amicus brief meets the applicable requirements under Commission Rule 73⁴ and will be granted on that basis.

The Commission holds Respondents' petitions for reconsideration in abeyance pending a final decision from Judge Wirth and grants leave to file the amicus brief conditionally submitted with that motion.

¹Respondents joined in a consolidated motion for reconsideration and Evergreen filed separately seeking the same relief. Respondents' Pet. for Reconsideration (Respondents' Pet.), filed Mar. 14, 2024; Respondent Evergreen Line Joint Service Agreement's Supplemental Pet. for Reconsideration of the Order Affirming Initial Decision (Evergreen Supp. Pet.), filed Mar. 14, 2024.

² 46 C.F.R. § 502.261.

³Consent Motion of Direct Chassislink, Inc., Flexi-Van Leasing, LLC and Interpool, Inc. d/b/a TRAC Intermodal for Leave to File a Brief Amici Curiae (Amicus Mot.), filed Mar. 21, 2024.

⁴ 46 C.F.R. § 502.73.

I. BACKGROUND

Complainant Intermodal Motor Carriers Conference (Intermodal) is a conference of the American Trucking Association, Inc. that represents the interests of motor carriers hired to transport containerized cargo between U.S. ports and inland facilities. Respondents are individual ocean common carrier and associations of ocean common carriers. Ocean Carrier Equipment Management Association Inc. (OCEMA) and Consolidated Chassis Management LLC (CCM) are ocean carrier associations that operate under the authority of agreements filed with the Commission.

The Respondent ocean carriers rely on three major intermodal equipment providers (IEPs) who supply chassis in the U.S. market: Direct Chassislink, Inc., Flexi-Van Leasing, LLC, and Interpool, Inc. d/b/a TRAC Intermodal. Respondents typically rent the chassis from the IEPs, and shippers or motor carriers are then billed for chassis usage in accordance with that ocean common carriers' contract with the IEP and/or Consolidated Chassis Management LLC (CCM) rules, or some other prearranged system. The IEPs were not joined as parties to the case but argued their position in an amicus brief filed with the Commission.

This case involves Intermodal's challenges to Respondents' chassis-provisioning rules as violating the Section 41102(c) restriction against unreasonable practices. 46 U.S.C. § 41102(c). Intermodal challenges these restrictions as unfairly limiting competition, depriving motor carriers of choice and an opportunity to negotiate better rates, and resulting ultimately in increased shipping costs borne by motor carriers and the shipping public. Respondents defend these practices as reasonable and necessary to ensure an adequate supply of safe chassis required to transport containerized cargo.

Judge Wirth issued an Initial Decision in February 2023 and rejected Respondents' arguments on jurisdiction and joinder of

indispensable parties and found that the rules that assign exclusive chassis providers for merchant haulage (port-to-port transportation) in four test case regions violate Section 41102(c). Judge Wirth ordered Respondents to cease and desist engaging in those practices.

Respondents appealed Judge Wirth's Initial Decision and the cease-and desist order to the Commission. The Commission affirmed the Initial Decision in its entirety and directed Respondents to cease immediately the practices found in violation of § 41102(c) and remanded the case to Judge Wirth for disposition of remaining claims. Respondents timely petitioned the Commission to reconsider its decision under 46 C.F.R. § 502.261. Complainant Intermodal filed a timely opposition brief urging the Commission to summarily reject the petitions for reconsideration as premature or deny them on the merits. The IEPs moved for leave to file an amicus brief in support of reconsideration.

II. DISCUSSION

A. Respondents' Motions for Reconsideration

Commission Rule 261 allows "any party" to petition for reconsideration within 30 days "after issuance of a final decision or order by the Commission." 46 C.F.R. § 502.261. The Commission follows the test the Supreme Court articulated in *Bennett v. Spear*, 520 U.S. 154, 177-78 (1997) to determine whether a decision or order qualifies as final under Rule 261. *One Network Express Pte. Ltd. and Ocean Network Express (North America) Inc. - Possible Violations of 46 U.S.C. § 41102(c)*, Docket No. 21-17, 2022 WL 331006, at *1 (FMC Jan. 28, 2022); *Carolina Marine Handling, Inc. v. South Carolina State Ports Auth.*, Docket No. 99-16, 2006 WL 3473384, at *3-4 (FMC Nov. 28, 2006). *Bennett* requires two conditions for a decision to qualify as final: First, the decision "must mark the 'consummation' of the agency's decision making process." *Bennett*, 520 U.S. at 177-78 (citations omitted). And second, the action must be one by which "rights or obligations have been determined," or from which "legal consequences" flow. *Id.*

(citations omitted). Satisfying only one of these conditions is not sufficient. *Id.* Both conditions must be satisfied. *Id.*

The Commission's February 2024 order meets only one *Bennett* requirement. Legal consequences flow from the order. Respondents were "ordered to cease and desist from the restrictive practices found to be unlawful under Section 41102(c) in the four regions covered by [Judge Wirth's] Initial Decision: Los Angeles/Long Beach, Chicago, Savannah, and Memphis." *Intermodal Motor Carriers Conference v. OCEMA, et al.*, Docket No. 20-14, 2024 WL 641501, at *2 (FMC Feb. 13, 2024). This cease-and-desist order became effective immediately and determined rights and obligations of the parties. Complainant Intermodal has a right not to be subjected to the practices the Commission found unlawful, and Respondents may suffer legal consequences if they fail to comply with the cease-and-desist order. *See Bennett*, 520 U.S. at 177-78.

Although the Commission's February 2024 order satisfies *Bennett*'s second prong, it does not meet the first prong of the test and therefore is not a final order for Rule 261 purposes. The order does not mark the consummation of the Commission's decision-making process for any of the parties. *See Bennett*, 520 U.S. at 178. No party was dismissed from the case, and claims remain before Judge Wirth for further proceedings. *See Carolina Marine*, 2006 WL 3473384 at *3 (order remanding claims to the ALJ is not final under Rule 261).

The Commission will hold Respondents' petitions for reconsideration in abeyance as premature under Commission Rule 261.

B. Motion for Leave to File Amicus Brief

The IEPs seek leave to file an amicus brief in support of reconsideration and submitted their brief, conditionally, with the motion. The IEPs moved to file with the consent of the parties, so their motion is unopposed. Amicus Mot., 1. Their motion is timely under 46 C.F.R. § 502.73(c) and they describe “the interest of the applicant” and explain “the reasons why such a brief is desirable” consistent with 46 C.F.R. § 502.73(b). *See* Amicus Mot., 1-2; Brief Amici Curiae of Direct Chassislink, Inc., Flexi-Van Leasing, LLC and Interpool, Inc. d/b/a TRAC Intermodal Regarding the Petition for Reconsideration of the Commission’s February 13, 2024 Order (Amicus Brief), filed Mar. 21, 2024.

An amicus curiae brief, or “friend of the court” brief, is intended to assist in the Commission by providing a different perspective or legal arguments the parties may not offer. The Commission looks to three factors in deciding whether to allow an amicus brief to be filed: (1) whether the brief is limited to questions of law or policy; (2) whether the requestor has an interest in the proceeding; and (3) whether considering their brief is desirable. 46 C.F.R. § 502.73(a), (b).

The IEPs’ Amicus Brief, submitted conditionally with their motion, appropriately addresses law and policy questions, such as the Commission’s authority to require action or forbearance on the part of the IEPs, the rationale for the Pool of Pools billing practices, and chassis pool operations in the Los Angeles/Long Beach region. Amicus Brief, 3-14. The IEPs also describe their interest in the proceedings as major U.S. chassis providers whose business interests are affected by the chassis provisioning rules addressed in this case. *Id.* at 1-2. The IEPs’ stated interest is bolstered by two prior rulings in this case allowing amicus filings from the IEPs when this case was before the ALJ and on appeal to the Commission.

The Commission grants the IEPs’ motion for leave to file the amicus brief submitted conditionally with their motion.

Consistent with the decision to hold Respondents' reconsideration petitions in abeyance, the Commission defers consideration of the arguments raised in the amicus brief until it addresses the parties' petitions for reconsideration.

III. CONCLUSION

The Commission hereby:

- (1) **HOLDS IN ABEYANCE** Respondents' Petition for Reconsideration filed March 14, 2024;
- (2) **HOLDS IN ABEYANCE** Respondent Evergreen Line Joint Service Agreement's Supplemental Petition for Reconsideration of the Order Affirming Initial Decision filed March 14, 2024; and
- (3) **GRANTS** the Consent Motion of Direct Chassislink, Inc., Flexivan Leasing, LLC and Interpool, Inc. d/b/a TRAC Intermodal for Leave to File a Brief Amici Curiae filed March 21, 2024, directs the Secretary to docket the brief conditionally submitted with that motion, and holds in abeyance consideration of the arguments raised in the amicus brief.

By the Commission.

David Eng
Secretary